

UX Case Study: SpotStitch Monetization Strategy Enhancement

1. Introduction

Company: SpotStitch (in collaboration with Project Human City)

Project Goal: To develop a monetization model for SpotStitch, an AR-based social media platform that connects users with local events and content. This project focused on integrating purchasable and biddable hashtags to generate revenue while maintaining a seamless user experience.

2. Problem Statement

SpotStitch wanted to introduce a **sustainable monetization strategy** without disrupting user engagement. The key challenges were:

- Creating a **business-friendly revenue model** without intrusive ads.
- Developing a **system for hashtag sponsorship** that benefits users and businesses.
- Ensuring **smooth usability** for both hashtag buyers and vendors.

3. Research & Competitive Analysis

Competitor Analysis

To understand industry standards, we analyzed:

- **Instagram & TikTok Ads** – Effective for content promotion but lacks AR-based monetization.
- **Snapchat AR Filters** – Engages users with interactive branding but focuses on filters, not hashtags.
- **Google Maps Local Business Ads** – Location-based but doesn't integrate user-generated content.

User Behavior Research

- Users prefer **subtle monetization models** over traditional ads.
- Businesses want **clear engagement analytics** for tracking ROI.
- Location-based advertising **performs better in high-traffic areas**.

4. Design Process

To solve these challenges, we designed an interactive **Figma prototype** covering two main user perspectives:

Flow 1: User Purchasing a Hashtag

1. **Homepage** – Users see trending hashtags.
2. **Hashtag Selection Page** – Users explore purchasable hashtags.
3. **Purchase Screen** – Users buy or bid on hashtags.
4. **Payment Confirmation** – Displays successful purchase & analytics.
5. **Post with Monetized Hashtag** – Shows how the purchased hashtag is used in posts.

Flow 2: Vendor Managing & Buying Hashtags

1. **Vendor Dashboard** – Businesses track purchased hashtags.
2. **Hashtag Purchase Page** – Vendors buy hashtags in various locations.
3. **Override/Manage Hashtags** – Admin control over hashtag sales.
4. **Map-based Hashtag Selection** – Vendors pick hashtags based on location.
5. **Transaction Management Screen** – Vendors track revenue & conversions.

5. Usability Testing & Key Findings

We conducted **usability tests** to gather feedback on:

- **Ease of purchasing & bidding** – Users found bidding intuitive, but needed better pricing indicators.
- **Vendor controls** – Businesses requested a **competitor pricing comparison** feature.
- **Dashboard UI improvements** – Clearer analytics helped vendors track performance more efficiently.

6. Final Outcome

- **Interactive Figma prototype** showcasing the monetization model.
- **Vendor & User journey maps** designed for seamless interaction.
- **Usability-tested features** optimized for engagement and revenue generation.
- **Clear monetization strategy** for SpotStitch to implement.

7. Lessons Learned

- **Research is key:** Competitive analysis helped shape SpotStitch's unique monetization model.
- **User feedback drives design:** Iterating based on testing significantly improved the final prototype.

- **Seamless UX is crucial:** Monetization must integrate naturally to avoid disrupting the user experience.

Conclusion

This project provided **real-world UX/UI experience** in designing a revenue model that balances user engagement and business profitability. By leveraging **AR-based monetization and location-based hashtags**, SpotStitch is positioned as a competitive and innovative social media platform.

Next Steps

- SpotStitch can refine the prototype further based on extended **user testing**.
- Explore **additional monetization options**, such as premium hashtag placements or subscription models.
- Conduct **pilot testing** with real vendors to assess business adoption rates.